

Accelerating trust and innovation in Latin America: *Navigating new data protection laws in Chile, El Salvador, and Peru with Microsoft*



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Introduction

Latin America is at the forefront of global data protection, fueled by a realization that **privacy, cybersecurity, and responsible AI** are essential for sustainable economic growth. Recent developments in **Chile, El Salvador, and Peru** spotlight a growing commitment to stricter controls, expanded individual rights, and heightened accountability measures for organizations handling personal data.

At Microsoft, we firmly believe that **compliance and innovation** should go hand in hand. Across all our customer agreements, we explicitly commit to **compliance with applicable laws and regulations** worldwide. This pledge is particularly relevant as these three Latin American nations refine or overhaul their data protection regimes, paving the way for a more secure and ethically grounded digital ecosystem. Below, we offer a deep dive into each country's regulatory landscape and demonstrate how **Microsoft 365 Security, Microsoft Purview, and Priva** can empower organizations to meet new obligations while boosting resilience and competitive advantage.

Chile: A transformative new Data Protection Law

Why it matters

Chile's existing data protection law, enacted in 1999, has aged out of alignment with the realities of the modern digital economy—ranging from cloud computing to AI-driven analytics. Recognizing that robust privacy

standards are critical for trust and innovation; the government passed a **New Data Protection Law** with stronger safeguards and a dedicated oversight authority.

Key points of the law

1. Expanded data classification:

- Broader distinctions between sensitive data (health, biometrics, geolocation) and less critical categories.
- Expanded protections to data associated with children and adolescents.
- Organizations must adapt internal data governance to match the new classifications.

2. Stronger individual rights:

- Reinforcement of the right to access, rectify, erase, blockade that must be complied with within a very short timeline, and a new right to port personal data.
- Emphasizes a shift from business-centric to citizen-centric data practices.

3. Creation of a national DPA (Data Protection Authority):

- Provides meaningful enforcement tools and a framework for redress.
- Encourages consistency by centralizing guidance, best practices, and policy updates.

4. Consent threshold is increased:

- Entities are required to secure consent that is freely given, specific, unambiguous, and stated by an affirmative action or statement and provided in the context of access to information detailing how data is collected, used, and shared (ensuring that the consent is informed).
- Protects citizens by ensuring they have visibility and control over their personal information.

5. Notification of personal data breaches:

- To the new DPA, without undue delay, becomes mandatory in certain scenarios, including but not limited to breaches associated with certain data classifications.

6. Obligation to conduct a data protection impact assessment:

- When processing may involve a high risk, which becomes relevant in cases of processing sensitive data or large volumes of data.

Microsoft's support for Chilean compliance

- **Classification and labeling with Microsoft Purview:**

Organizations can automatically identify sensitive data types—like health or biometric information—aligning with Chile's refined classifications.

- **Streamlined DSR workflows via Priva:**

By automating tasks around data subject requests (DSRs), organizations can quickly respond to requests for data access, correction, or deletion.

- **Enhanced remote collaboration and Security in Microsoft 365:**

As Chile fosters digital transformation, Microsoft 365 Security features (including advanced threat protection) provide a secure collaboration environment, reducing the risk of unauthorized data exposure.

- **Rapid incident response:**

Leveraging Defender for Office 365 and other **Microsoft 365 Security** capabilities, organizations can quickly detect potential breaches, fulfill notification obligations, and reduce legal risks.

El Salvador: Rapid enforcement of a new Data Protection Law

Accelerated timeline

El Salvador's new law came into force just **eight days** after publication—one of the swiftest implementations in recent memory. While rapid, this underscores an urgent national commitment to safeguarding citizens' personal data.

Pivotal requirements

1. Data holders rights

- New rights of access, rectification, deletion, objection, blockade and portability.
- Stringent timelines (20 working days).

2. Creation of a Cybersecurity Agency (ACE) and adoption of a Cybersecurity Law

- ACE oversees compliance of the new data protection law along with the new Cybersecurity law, that the Data Protection Law is combined with.
- A new legal framework emerges aimed to protect data and information systems.

3. Mandatory breach notifications:

- Organizations are obliged to inform authorities and affected individuals within 72 hours when a data breach occurs.
- Timely incident response plans are crucial to avoid legal repercussions and maintain public trust.

4. Consent management and data classification

- Consent must be express, specific, free, informed and individualized.
- Broad definition of sensitive data.

5. Privacy-by-design:

- Privacy is no longer an afterthought but must be integrated from the earliest stages of product or service development.
- Encourages a culture of proactive compliance, rather than "check-the-box" governance.

Microsoft's role in El Salvador

Localized Compliance Manager templates:	Found within Microsoft Purview , these templates guide businesses through El Salvador's requirements, helping identify compliance gaps and track remediation steps.
Adaptive Security and AI:	Our Microsoft 365 Security solutions integrate seamlessly with emerging AI features like Copilot, supporting advanced analytics operations within a framework of privacy-by-design .
Rapid incident response:	Leveraging Defender for Office 365 and other Microsoft 365 Security capabilities, organizations can quickly detect potential breaches, fulfill notification obligations, and reduce legal risks.

Peru: Updated Personal Data Protection Law and regulations

Legislative overview

Peru recently strengthened its legal framework under **Law No. 29733**, with a new regulation set to take full effect on **30 March 2025**—followed by an additional milestone on **30 November 2025** for designating personal data compliance officers.

Major provisions

- 1. **Extra-territorial reach:**
 - Overseas controllers handling Peruvian data subjects must comply, reinforcing the global dimension of data laws.
 - Requires a local representative for streamlined regulatory interactions.
- 2. **48-hour breach notification:**
 - Mandates that organizations alert authorities and impacted data owners within 48 hours of becoming aware of a security incident.
 - Drives demand for reliable logging, detection, and escalation tools.
- 3. **New and more detailed security obligations:**
 - Including the maintenance of a security document that must be managed and updated regularly.
 - The security document must describe, at a minimum, the procedures on access and privilege management and the regular verification of any privileges assigned.
- 4. **Data portability:**
 - Grants individuals the right to transfer their data from one provider to another, reinforcing consumer autonomy.
- 5. **Increased transparency:**
 - If algorithms or AI influence decision-making, data subjects must be explicitly informed.
 - Encourages ethical practices around automated profiling and personalized services.

Microsoft’s Commitment to Peruvian customers

Incident management and alerting with Microsoft 365 Security:	Automated threat detection, comprehensive logging, and clear breach escalation paths enable organizations to meet 48-hour notification requirements.
Compliance-centric data governance via Microsoft Purview:	Purview helps track data lineage, classify new categories, and establish retention policies aligned with Peruvian regulations.
Priva for AI and DSR:	In an era where AI shapes decision-making, Priva can manage both data subject requests and maintain oversight of how personal information feeds into AI models, maintaining transparency for users.

Bringing it all together: Microsoft 365 Security, Purview, and Priva

Microsoft 365 Security

- **Unifying threat protection:** Tools like Defender for Endpoint and Defender for Office 365 deliver end-to-end visibility, threat analytics, and proactive threat hunting. This comprehensive coverage enables organizations to **detect, investigate, and mitigate breaches** in a unified manner—essential for compliance with El Salvador’s and Peru’s strict notification timelines.
- **Cloud-ready security posture:** As many LATAM businesses adopt remote work or hybrid models, Microsoft 365 Security safeguards distributed data, user endpoints, and collaboration channels with advanced encryption and policy-based controls.

Microsoft Purview

- **Global Compliance Manager:** Equipped with localized templates for Chile, El Salvador, and Peru, Purview streamlines **risk assessments**, internal audits, and readiness checklists.
- **Data lifecycle and retention:** By automating the retention, deletion, and archiving of data, organizations adhere to local laws around data minimization and purpose limitation—core principles in all three countries’ frameworks.
- **Advanced eDiscovery and auditing:** Delivers robust tracking and documentation, allowing organizations to present clear audit trails during official inquiries or legal proceedings.

Priva

- **Efficient data subject requests:** Priva’s automated workflows and built-in privacy analytics facilitate timely handling of requests to access, erase, or port data across the region’s regulatory contexts.
- **Privacy risk insights:** Provides intelligence on potential policy violations or unusual data movements, aiding compliance teams in proactively reducing risk exposure.
- **Transparent AI integration:** As organizations expand AI capabilities, Priva helps you ensure that data usage is lawful and aligned with local privacy and transparency obligations.

Microsoft’s overarching commitment to comply with applicable laws

As part of our global promise, **every Microsoft customer agreement** explicitly states that we will comply with **all laws and regulations applicable to Microsoft**. This commitment applies across all geographies, from the European Union’s upcoming AI Act to emerging data protection frameworks in Chile, El Salvador, and Peru. Our approach is anchored in continuous investment in privacy, security, and responsible AI, ensuring that our products consistently align with regulatory requirements. While we work to meet or exceed the expectations of regulators, businesses, and individuals, tis focus on compliance should not be interpreted as a guarantee of customer satisfaction. Rather it underscores our dedication to fulfilling legal and ethical responsibilities worldwide.

Practical guidance for organizations

Start with a gap analysis	• Inventory your data assets and evaluate them against Chile’s classification rules, El Salvador’s sovereignty requirements, and Peru’s non-territorial scope. • Use Microsoft Purview assessments to quickly identify compliance shortfalls.
Fortify breach response	• Implement an incident response plan that clearly outlines who must be notified, how quickly, and with what information—particularly crucial for El Salvador and Peru’s 48-hour thresholds. • Microsoft 365 Security dashboards can help coordinate threat detection and expedite communication during a crisis.
Embed privacy-by-design	• Integrate data protection considerations from the earliest stages of product or service development to comply with each country’s unique requirements. • Deploy Priva to manage DSRs effectively and keep sensitive data flows under control.
Train your workforce	• Provide ongoing training about the complexities of data handling, breach reporting, and AI ethics—equipping teams to navigate the new regulations confidently. • Leverage Microsoft’s localized resources, webinars, and consultancy for region-specific best practices.
Leverage responsible AI frameworks	• As AI becomes more embedded in everyday operations, follow Microsoft’s Responsible AI guidelines to drive transparency, fairness, and accountability—essential to regulatory compliance and public trust.

Looking ahead: Opportunities and ethical innovation

Chile, El Salvador, and Peru are establishing a new era of **data protection** that **prioritizes citizen rights**, **secure technology adoption**, and **flexible governance**. Organizations that adapt promptly will not only **mitigate legal risks** but also position themselves as **trustworthy leaders** in their sectors.

Microsoft’s solutions—**Microsoft 365 Security**, **Purview**, and **Priva**—along with our unwavering commitment to **complying with all applicable laws**, help businesses pivot confidently toward compliance while embracing **AI-enabled breakthroughs**. By aligning privacy, security, and innovation, we collectively shape a future where data-driven services bolster economic growth and uphold the highest standards of **personal data stewardship**.

Conclusion

Latin America's regulatory advancements in Chile, El Salvador, and Peru underscore the region's determination to protect individuals' rights while fostering a climate conducive to digital innovation. Whether your organization is revamping data classification processes for Chile, adhering to El Salvador's accelerated law, or preparing for Peru's new compliance mandates, Microsoft stands ready to guide you.

With robust security frameworks and compliance-ready technologies, we help you transform evolving **legal obligations** into a strategic **advantage**—one that earns user trust, encourages operational efficiency, and emboldens responsible AI development. As these regulations continue to shape the LATAM landscape, rest assured that **Microsoft's promise to comply with applicable laws** extends to every facet of our collaboration, offering enduring value in an ever-more-connected world.

About the Authors

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As Microsoft's Director and Head of Global Regulatory Strategy, Manny helps organizations optimize their cybersecurity and privacy posture so they can confidently adopt advanced technologies—including AI, Microsoft Purview, cross-cloud solutions, and Microsoft 365 Security—while meeting complex local, regional, and global compliance requirements. With extensive experience in data privacy, regulatory risk, and technology governance, Manny guides businesses in responsibly innovating within today's rapidly evolving digital landscape.

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Alex oversees Microsoft's commercial transactions, corporate affairs, and philanthropic initiatives in Chile, as well as government and corporate relations in Peru. Known for his pragmatic, business-oriented approach and deep expertise in public-policy engagement, he has been at the forefront of shaping privacy and compliance strategies that balance responsible innovation with robust legal requirements.

For more insights or guidance on harnessing **Microsoft 365 Security**, **Microsoft Purview**, and **Priva** to meet Chilean, Salvadoran, and Peruvian data protection requirements, please explore our [Microsoft Trust Center](#) or reach out to your dedicated Microsoft representative.

Together, let's navigate the region's emerging compliance landscape and seize new opportunities for **trust and innovation** in the age of data.